(b) Cheques deposited into bank but not yet credited

When the cheques are deposited into bank, the amount is debited in the cash book on the same day. But, these may not be shown in the bank pass book on the same day because these will be entered in the bank statement only after the collection of the cheques.

For example, the balances as per cash book and bank statement are ₹ 20,000 for X & Co. X & Co. receives a cheque on 25th March 2016, from ABC Limited for ₹ 5,000. On the same day, X & Co, debits its cash book with ₹ 5,000. But bank credits X & Co's account only when the cheque is collected from ABC Limited's bank. This shows that is a time gap between depositing the cheque by the customer (X & Co) and collection of cheque by the bank. As a result of this,



Balance as per cash book (₹ 25,000) is more than balance as per bank statement



Balance as per bank statement (₹ 20,000) is less than balance as per cash book

(c) Bank charges and interest on loan and overdraft charged by the bank

The bank has to cover the cost of running the customer's account. So debit is given to the account of the business towards bank charges. Also, if the business had taken any loan or overdrawn, interest has to be paid by the business. These entries for bank charges and interest are made in the bank statement. But, the entry is made in the cash book only when the bank statement is received by the business. Till then, the cash book shows more balance than bank statement.

For example, the opening balance as per cash book and the bank statement as on 1st March 2017 is ₹ 7,000. Bank debits for bank charges ₹ 300 as on 27th March 2017. But there is no entry for the same in the cash book as on such date. As a result of this,



Balance as per cash book (₹ 7,000) is more than balance as per bank statement



Balance as per bank statement (₹ 6,700) is less than balance as per cash book

(d) Interest and dividends collected by the bank

The bank may collect dividends on its customer's investment in shares and also interest on any investment. The entry for this will be made in the bank statement on the date of collection. But the entry is made in the cash book only when the bank statement is received by the customer. Till then, the cash book shows less balance than the bank statement.

For example, the balances as per cash book and bank statement are ₹15,000. The bank has collected dividends of ₹1,000. As a result of this, the balance as per bank statement is increased to ₹16,000, whereas until the customer receives such information and records the same, balance as per cash book is lesser by ₹1000. As a result of this,



Balance as per bank statement (₹ 16,000) is more than balance as per cash book



Balance as per cash book (₹ 15,000) is less than balance as per bank statement

(e) Dishonour of cheques and bills

When the cheque is received from outside parties, it is deposited with the bank and debited in the cash book. If the cheque is dishonoured, the bank cannot collect the amount of such cheque from outside parties' bank. It is not credited in the bank statement. As a result of this, the two records would differ.

Accountancy - Unit-08.indd 156 12/12/2021 6:16:57 PM